Economics Test -9

Join Telegram

Q1. Addition to the stock of capital of a firm is known as______.

A. investment

B. accumulation

C. capital loss

D. capital gain

Solution: investment. A capital loss occurs when a capital asset is sold for a lower price than its original purchase price, resulting in a financial loss due to the asset's decrease in value. Capital gains are the profits that are realized by selling an investment, such as stocks, bonds, or real estate. Accumulation is the process of building up a position in an asset through multiple transactions.

Q2. Which among the following is the oldest stock exchange in India ?

A. Multi-Commodity Exchange

B. Bombay Stock Exchange

C. National Stock Exchange

D. National Commodity and Derivatives Exchange

Solution: Bombay Stock Exchange (BSE). India has two National stock exchanges - The Bombay Stock Exchange (BSE) and The National Stock Exchange (NSE). BSE was Established in 1875 , it is Asia's oldest stock exchange. NSE was incorporated in 1992 . SEBI (Securities and Exchange Board of India) is the regulator of securities markets in India. SEBI : Established in 1988 and as a statutory body in 1992 and its headquarter is in Mumbai .

Q3. Which of the following statements is/are true about currency notes? i. They do not have intrinsic value. ii. They can be called fiat money. iii. They are not legal tenders.

A. Only ii

B. Only i

C. Only i and ii

D. Only ii and iii

Solution: Only i and ii. The Reserve Bank of India (RBI) prints and manages currency in India, whereas the Indian government regulates what denominations to circulate. The Indian government is solely responsible for minting coins. The symbol (₹) of Indian Rupee was accepted by the Government of India on 15th July 2010. The symbol of Indian Rupee is designed by Udaya Kumar.

Q4. Net domestic product is calculated as________.

A. GDP- Depreciation

B. GNP - Depreciation

C. GDP-Net income earned from abroad

D. GNP-Net income earned from abroad

Solution: GDP- Depreciation. Net domestic product (NDP) : A yearly measure of a country's economic output. GDP (Gross Domestic Product) - The monetary measurement of the total market value of all the finished goods and services that nations manufacture within their borders and sell over a given time period. Net National Product (NNP): An economy is the GNP after deducting the loss due to depreciation. NNP = GNP – Depreciation. Gross National Product (GNP): The value of all final goods and services produced by the residents of a country in a financial year.

Q5. What are currency notes and c oins called?

A. commodity money

B. Fiat money

C. Metallic money

D. Reserve money

Solution: Fiat money is a government-issued cu rrency that is not backed by a commodity such as gold. Currency Notes and Coins are Fiat Money. Commodity money is money whose value comes from a commodity of which it is made. Metallic money refers to coins made of various metals such as gold, silver, bro nze, nickel, and so on. Reserve money is also called central bank money, monetary base, base money, or high-powered money.

Q6. While estimating Gross Domestic Product, the monetary value of only final goods are considered because ___________. a. its immobility, the active economic flow is ended. b. of the issues of double counting c. the value added at each stage of the production process is included

A. Only b

B. Only a

C. All a, b and c

D. Only b and c

Solution: Only b. Gross Domestic Product (GDP) - Aggregate value of goods and services produced within the domestic territory of a country. While estimating GDP, the monetary value of only final goods is considered to avoid the problem of double counting. If intermediate goods were included, they would be counted multiple times, leading to an inflated GDP figure.

Q7. Which of the following is NOT a component of investment ?

A. Addition to residential construction

B. Money spent on purchasing shares of a company

C. Machinery and equipment employed by a firm

D. Inventories of raw materials stocked by a firm

Solution: Buying shares of a company- It is not deemed an investment as it does not directly enhance productive capacity. Share purchase grants ownership in the company but not in its capital goods, which the company might acquire with share-sale funds. Component of Investment: Fixed Investment and Inventory Investment.

Q8. Commercial banks keep their deposits with RBI. These deposits are called ______.

A. liability

B. loans

C. inheritance

D. reserves

Solution: Commercial banks keep their deposits with RBI. These deposits are called reserves. A liability is something a person or company owes, usually a sum of money. A loan is a form of debt incurred by an individual or other entity. An inheritance is a financial term describing the assets passed down to individuals after someone dies.

Q9. _________ came into existence on 12 July 1982 by transferring the agricultural credit functions of RBI and refinance functions of the then Agricultural Refinance and Development Corporation.

A. Securities and Exchange Board of India
B. Small Industries Development Bank of India
C. Reserve Bank of India
D. National Bank for Agriculture and Rural Development

Solution: National Bank for Agriculture and Rural Development (NABARD) . It was established in 1982 on the recommendations of B. Sivaraman Committee to implement the National Bank for Agriculture and Rural Development Act 1981. Headquarters - Mumbai . Securities and Exchange Board of India (SEBI, 1992, Mumbai). Small Industries Development Bank of India (SIDBI, 1990, Lucknow). Reserve Bank of India (RBI, 1935, Mumbai).

Q10. What is the usual treatment on repo rates by the Reserve Bank of India in case of a hawkish monetary policy stance?

A. Reduced gradually
B. Reduced sharply by more than 100 bps
C. Increased
D. Kept the same

Solution: Increased . In a hawkish monetary policy stance, the Reserve Bank of India (RBI) aims to control inflation, reduce demand, and stabilize the economy. To achieve this, the RBI typically increases the repo rate (the rate at which banks borrow money from the RBI), reduces money supply in the economy and makes borrowing more expensive for consumers and businesses.

Q11. Which of these is a component of the tertiary sector of an economy?

A. Mining and quarrying
B. Water supply
C. Electricity
D. Hotels and restaurants

Solution: Hotels and restaurants. Sectors of Indian Economy: Primary sector - Depends on the availability of natural resources to manufacture goods and execute various processes. Examples - Agriculture, Forestry, Daily, Mining, etc. Secondary sector - The sector of the economy that revolves around manufacturing. Examples - Construction, fabrication, assembly, distillation, and purification. Tertiary Sector (service sector) - It creates services rather than finished items. Examples - Trade, transport, communication, banking, education, health, tourism, insurance, etc.

Q12. Which of the following sectors is the most labour absorbing sector of the economy ?

A. Industry
B. Agriculture
C. Service
D. Banking

Solution: Agriculture is a critical sector in India, with almost 60 percent of the population dependent on it. The Indian economy comprises several sectors: primary (including mining, fishing, agriculture, and farming), secondary (such as construction and steel manufacturing), and tertiary (including banking, insurance, transportation, communication, IT services, consulting, government, tourism, retail, education, and social services).

Q13. Which of these is NOT one of the reasons why the public sector played a dominant role in establishing the Industrial sector in India post- Independence ?

A. Poor savings capacity of the public
B. To avoid generation of private profit
C. Absence of large enough market for output
D. Lack of adequate capital with private industrialists

Solution: In 1950, a Planning Commission was established by the government to formulate and implement effective economic development policies. The "mixed economy" model was embraced, where the State and private sector collaborated to boost production and employment. Second Five Year Plan (1956-61)- Focussed on rapid industrialization and the public sector and based on Mahalanobis model. Steel plants at Bhilai (Chattisgarh), Rourkela (Odisha) and Durgapur (West Bengal) were set up during this period.

Q14. Which state is the largest in terms of the outstanding portfolio of microfinance loans, as per the MFIN Micrometer Q4 FY21- 22 ?

A. Karnataka
B. Uttar Pradesh
C. Maharashtra
D. Tamil Nadu

Solution: Tamil Nadu. Microfinance - A banking service provided to low-income individuals or groups who otherwise would have no other access to financial services. The modern use of the expression "microfinancing" has roots in the 1970s when Grameen Bank of Bangladesh, founded by microfinance pioneer Muhammad Yunus. SEWA (Self-Employed Women's Association) Bank, a cooperative bank, was established in Ahmedabad as one of the first modern-day microfinance institutions in the country.

Q15. In the given expression of GDP according to the expenditure method, which of the following represents the aggregate imports expenditure incurred by the economy ? C + I + G + X - M

A. C
B. M
C. I
D. X

Solution: M . Gross domestic product is the monetary value of all finished goods and services made within a country during a specific period. The Formula for Expenditure GDP is GDP = C + I + G + (X - M) . Where , C = Consumer spending on goods and services, I=Investor spending on business capital goods, G = Government spending on public goods and services, X=exports, M=imports.

Q16. Which of the following statements is correct regarding the Ninth Five Year Plan of India ? I. This plan focused on development with social justice and equality. II. The time period of the Ninth Five Year Plan was 1997–2002.

A. only II

B. Neither I nor II

C. only I

D. Both I and II

Solution: Both I and II. The Ninth Five-Year Plan (1997 - 2002) was implemented under the leadership of Atal Bihari Vajpayee. Its main focus was on "Growth with Social Justice and Equality." The plan was launched in the 50th year of India's independence. Although it aimed for a growth rate of 6.5%, the actual growth rate achieved was 5.4%.

Q17. Which of the following is NOT a monetary policy instrument of RBI ?

A. Government Spending

B. Bank Rate

C. Open Market Operations

D. Cash Reserve Ratio

Solution: Government Spending. The money spent by the public sector on the acquisition of goods and provision of services such as education, healthcare, social protection, and defense. Bank Rate : Rate at which RBI gives loans to commercial banks without keeping any collateral (security). Open Market Operations: Buying and selling of government securities in the open market. Cash Reserve Ratio (CRR) : It is the percentage of deposits that commercial banks are required to keep with the Reserve Bank of India in the form of cash reserves.

Q18. Which government of India program provides 100 days of wage employment to households in rural areas to ensure livelihood security ?

A. Swarnajayanti Gram Swarozgar Yojana

B. Mahatma Gandhi National Rural Employment Guarantee scheme

C. Prime Minister Rozgar Yojana

D. Pradhan Mantri Gramodaya Yojana

Solution: MGNREGA (Mahatma Gandhi National Rural Employment Guarantee Act) - It was passed in 2005, and came into force in 2006 by the Ministry of Rural development. NREGA was renamed MGNREGA in 2009. It guarantees the "right to work" to rural citizens of India.

Q19. What is a common term used to measure poverty based on the income or consumption levels?

A. Vulnerability

B. Social exclusion

C. Poverty line

D. Poverty estimates

Solution: The poverty threshold, poverty limit, poverty line or breadline is the minimum level of income deemed adequate in a particular country. The poverty line is the minimum amount of money a person needs to fulfill the basic necessities of life, like shelter an d food.

Q20. A person is said to be in marginal employment if she/he has worked for fewer than ______ months in the year preceding the Census.

A. 12

B. 6

C. 3

D. 9

Solution: Those who had not worked for the major part of the year (i.e. those who had worked for less than 6 months or less than 183 days in a y ear) were termed as marginal workers. In India, 8.7% are marginal workers.

Q21. In India, the electoral bonds are valid for how many days from the date of issue ?

A. Fifteen days

B. Thirty days

C. Seven days

D. Fourteen days

Solution: Fifteen days . An electoral bond is like a promissory note that can be bought by any Indian citizen or company incorporated in India. State Bank of India is authorised to issue and encash these bonds. The bonds are issued by SBI in denominations of Rs 1,000 , Rs 10,000 , Rs 1 lakh , Rs 10 lakh and Rs 1 crore .

Q22. In 1944 various industrialists came together and drafted a joint proposal to establish a planned economy in India. This is known as ______Plan.

A. Pune

B. Bombay

C. Agra

D. New Delhi

Solution: Bombay. In 1944, a group of leading industrialists in India drafted a proposal for a planned economy, known as the Bombay Plan. The industrialists involved were J.R.D. Tata, G.D. Birla, Lala Shri Ram, Kasturbhai Lalbhai, Purushottamdas Thakurdas, Ardeshir Dalal, and John Mathai. They were assisted by economists A.D. Shroff and P.S. Lokanathan in creating the plan.

Q23. Which of the following statements is correct regarding the government securities in the economy ? I. It is a tradeable instrument issued by the Central Government or the State Governments. II. They are called risk-free gilt-edged instruments.

A. Neither I nor II

B. Only I

C. Only II

D. Both I and II

Solution: Both I and II . A Government Security (G-Sec) is a tradable instrument issued by the Central Government or the State Governments. It acknowledges the Government's debt obligation. G-Secs carry practically no risk of default and, hence, are called risk-free gilt-edged instruments.

Q24. What is the time period of the rolling plan during the five-year plan in India ?

A. 1971-73

B. 1968-70

C. 1978-80

D. 1975-78

Solution: 1978-80. The Rolling Plan (1978-80) introduced by the Janata Government focused on employment and criticized the Nehru Model for increasing inequality and poverty. However, the government lasted only two years, and in 1980, the Congress Government returned to power, launching a new Sixth Plan aimed at tackling poverty by fostering an expanding economy.

Q25. Which of the following statements is/are correct with respect to the demand for money ? i. When the interest rate is high, the demand for money is low. ii. When the interest rate is low, demand for money is also low. iii. When the interest rate is high, demand for money is also high. iv. When the interest rate is low, demand for money is high.

A. Only ii and iv
B. Only i and iv
C. Only ii and iii
D. Only i and ii

Solution: Only i and iv. Motive of Money - Three motives: Transaction Motive - To meet the day to day needs of its business operations. Examples - Wages, interests, dividends, goods purchased. Precautionary Motive - The contingencies or unforeseen circumstances arising in the course of business. Examples - Increase in the price of raw materials, labor strike, lockouts. Speculative motives - The benefit of bargain purchases that may arise in the future.

Q26. The number of deaths per thousand persons in a year is known as ______.

A. gross reproduction rate
B. crude rate
C. birth rate
D. death rate

Solution: Mortality rate, or death rate , is a measure of the number of deaths (in general, or due to a specific cause) in a particular population, scaled to the size of that population, per unit of time. The gross reproduction rate (GRR) is the average number of daughters a woman would have if she survived all of her childbearing years, which is roughly to the age of 45, subject to the age-specific fertility rate and sex ratio at birth throughout that period. A crude rate is defined as the total number of events, or count, divided by the mid-ye ar total population of the selected geography and multiplied by a constant, which is a multiple of 10.

Q27. Read the following statements regarding money supply. A. In the modern economy, money includes cash and bank deposits. B. They are created by two types of institutions: the central bank of the economy and the commercial banking system. Identify the correct statement(s).

A. Both A and B
B. Neither A nor B
C. Only A
D. Only B

Solution: Both A and B. In the modern economy, the money supply includes both cash and bank deposits. Cash is issued by the central bank, while bank deposits are created by the commercial banking system when they provide loans. Together, the central banks and commercial banks are responsible for creating the money supply.

Q28. From which date, the Indian Financial year begins ?

A. 31st March
B. 1st April
C. 1st January
D. 1st March

Solution: 1st April. A fiscal year is a 12-month period used for financial reporting and budgeting. In India, it runs from April 1st to March 31st of the following year and is also called the financial year. This period is used for calculating income tax, GST, and other taxes and duties.

Q29. Calculate the revenue receipts from the following information. Revenue deficit= 2.80% of GDP Revenue expenditure= 10.80% of GDP

A. 12.80
B. 8.00
C. 13.60
D. 2.70

Solution: 8.00. To calculate the Revenue Receipts, we need to use the given information about the Revenue Deficit and Revenue Expenditure as percentages of GDP. Formula for Revenue Deficit : Revenue Deficit = Revenue Expenditure - Revenue Receipts Given : Revenue Deficit = 2.80% of GDP Revenue Expenditure = 10.80% of GDP Now, We can set up an equation: 2.80% = 10.80% - Revenue Receipts To find Revenue Receipts: Revenue Receipts = 10.80% - 2.80% = 8.00%

Q30. Which Five-Year Plan of India was known as the "Mahalanobis Plan" ?

A. Third Five-Year Plan
B. First Five-Year Plan
C. Fourth Five-Year Plan
D. Second Five-Year Plan

Solution: The Second Five-Year Plan (1956-1961) focused on heavy industries and was influenced by the USSR model. This plan led to the development of major steel mills in Bhilai, Durgapur, and Rourkela and laid the groundwork for the Industrial Policy Resolution of 1956, boosting the public sector. The plan aimed for a growth rate of 4.50% but achieved 4.3%.

Q31. According to ______ policy, instead of importing vehicles made in a foreign country, industries would be encouraged to produce them in India itself.

A. import substitution
B. Indian substitution
C. export substitution
D. ruralisation

Solution: import substitution. Import substitution is a trade policy strategy that involves replacing imported goods with domestically produced goods to reduce a country's reliance on foreign products and support local industries. Export substitution is a trade and economic policy aiming to speed up the industrialization process of a country by exporting goods for which the nation has a comparative advantage.

Q32. The poverty line in India is normally estimated ______ by conducting sample surveys.

A. every ten years
B. every five years

C. every six years

D. twice a year

Solution: The poverty line in India is normally estimated every Five years by conducting sample surveys. These surveys are carried out by the National Sample Survey Organisation (NSSO).

Q33. The National Food Security Act (NFSA) was enacted in which year by the Government of India?

A. 2013

B. 2001

C. 2008

D. 2005

Solution: 2013 . NFSA: Objective - To provide food and nutritional security in the human life cycle approach. Coverage: 75% of the rural population and up to 50% of the urban population for receiving subsidized foodgrains under Targeted Public Distribution System (TPDS). Provisions - 5 Kgs of foodgrains per person per month at Rs. 3/2/1 per Kg for rice/wheat/coarse grains.

Q34. Which of the following is NOT a part of the capital receipts?

A. Tax revenue

B. Recovery of loan

C. Disinvestment

D. Borrowing

Solution: Tax revenue. Capital Receipts - All those receipts of the government which create liability or reduce financial assets. The main items of capital receipts are loans raised by the government from the public which are called market borrowings, borrowing by the government from the Reserve Bank and commercial banks and other financial institutions through the sale of treasury bills, loans received from foreign governments and international organisations, and recoveries of loans granted by the central government.

Q35. The second five-year plan of India focused on______.

A. rapid industrialization

B. foreign direct investment

C. balance of payment

D. family Planning Programmes

Solution: rapid industrialization . Second five-year plan (1956-61) focused on rapid industrialization and the public sector. Drafted and Planned by - P.C Mahalanobis. Objectives - emphasised quick structural transformation, government imposed tariffs on imports to protect domestic industries under this plan, target growth rate was 4.5% and the actual growth rate was slightly less than expected, 4.27%.

Q36. The era of five year plans began in India with the establishment of_________.

A. The NITI Aayog

B. The Parliament

C. The Finance Commission

D. The Planning Commission

Solution: The Planning Commission : Set up on 15 March 1950 and the plan era started from 1 April 1951 with the launching of the First Five Year Plan (1951-56). The Planning Commission was replaced by a think tank called NITI AAYOG in 2015 by Narendra Modi (Prime Minister). First Chairman of the Planning Commission - Pandit Jawaharlal Nehru. Last deputy chairman - Montek Singh Ahluwalia. First Five year plan was based on the Harrod Domar Model.

Q37. Which of the following statements is correct ? I. Death rate in India is 7.2 per 1000 in 2011. II. Life expectancy at birth is 72.6 years in 2012.

A. Only II

B. Both I and II

C. Neither I nor II

D. Only I

Solution: Only I. Life expectancy at birth has increased from 36.7 years in 1951 to 67.9 years in 2012 . The birth rate in a period is the total number of live births per 1,000 population divided by the length of the period in years. It is expressed as births per 1,000 population. In India, the birth rate 2023 is 16.949 births per 1000 people, a 1.25% decline from 2022.

Q38. Which of the following is NOT a cause of unemployment in India?

A. Slow economic growth

B. Increase in labour force

C. Lack of infrastructure development

D. Lack of housing facilities

Solution: Main Causes of Unemployment in India are Caste System, Slow Economic Growth, Increase in Population, Agriculture is a Seasonal Occupation, Joint Family System, Slow Growth of Industrialisation, Less Savings and Investment, Immobility of labour, etc.

Q39. Tendulkar Methodology is associated with the estimation of ______ in India.

A. unemployment

B. population size

C. poverty

D. national income

Solution: Tendulkar Methodology Poverty. Some more famous Committee and its purposes. Bhagwati Committee Unemployment an d Public Welfare. Narasimham Committee Banking Reforms. Balwantrai Mehta Committee (1957) Panchayati Raj Institutions. Raja Chelliah Committee Tax reforms in India. Chakravarty Committee (1985) Monetary policy. Sarkaria Commission Relationship and power balance between the Centre and States. Lodha committee To recommend reforms for cricket in India.

Q40. What does F stand for in the FRBM Act, 2003 of the Indian economy?

A. Financial

B. Fiscal

C. Functional

D. Freedom

Solution: The full form of FRBM is Fiscal Responsibility and Budget Management. This Act is the statute to induce discipline and restrictions on expenditure and debt-related things was passed by the Parliament in 2003. In 2012 and 2015 notable changes were made in act.

Q41. The monetary policy instrument called 'bank rate' is aligned to ______.

A. Liquidity adjustment facility

B. Cash Reserve ratio

C. Discount rate

D. Marginal standing facility rate

Solution: Marginal standing facility rate . It is a scheme launched by the RBI in 2011-12 . Cash Reserve Ratio (CRR) is the minimum amount as specified by the Central Bank, to be maintained by the Commercial banks of the public deposits with the Central Bank. Liquidity adjustment facility is a monetary policy tool used by the RBI in India through which it absorbs liquidity in the banking system. It was introduced by the Narasimham Committee (1998). Discount Rate is the interest rate at which the central bank lends to commercial banks to meet their liquidity needs.

Q42. Which of the following statements is/are correct about the Union Government budget in India? a. The Budget reflects the vision of the government in fulfilling the aspirations of people. b. The Budget is the summary report of the financial performance of the government in power. c. The Budget provides details of expenditures meted out by various Union Government ministries.

A. All a, b and c

B. Only a and b

C. Only c

D. Only a

Solution: All a, b and c. The Budget reflects the government's vision and national priorities, outlining expected revenues and expenditures. It serves as a financial roadmap, ensuring transparency in fiscal management. The document details allocations to various ministries, showing how resources will meet development goals. Governed by Article 112 of the Indian Constitution, it mandates the presentation of the annual financial statement in Parliament. The Budget provides a summary of the government's financial performance for each financial year.

Q43. In the context of microfinance in India, the concept of SHG-BLP is used. What does L stand for in SHG-BLP?

A. Lend

B. Linkage

C. Link

D. Lending

Solution: Linkage . SHG-Bank Linkage Programme (SHG-BLP) : It was launched by NABARD in 1992 Under this programme, banks were allowed to open savings accounts for SHGs. Bank Sakhis, trained members from SHGs served as intermediaries, aiding SHG members in transactions and application processes.

Q44. Which type of seeds played an important role in the Green Revolution in India ?

A. High Yielding Variety

B. High Nutritional Variety

C. Low Yielding Variety

D. Low Nutritional Variety

Solution: High Yielding Variety (HYV) . First phase of the green revolution (approximately mid 1960s upto mid 1970s), the use of HYV seeds was restricted to the more affluent states Punjab, Andhra Pradesh and Tamil Nadu. HYV seeds primarily benefited the wheat growing regions only. Second phase of the green revolution (mid-1970s to mid-1980s), the HYV technology spread to a larger number of states and benefited more variety of crops. Aspects - High Yielding Varieties, Mechanization of Agriculture, Use of Chemical Fertilizers and Pesticides and Irrigation. Father of the Green Revolution - Norman Borlaug . Father of the Green revolution (India) - M.S. Swaminathan .

Q45. In the context of microfinance, what does 'S' stand for in SHG?

A. Social

B. Steady

C. Sustainable

D. Self

Solution: Self . Self-Help Groups (SHGs) are informal, self-governed associations of individuals from similar socio-economic backgrounds who come together to collectively improve their living conditions by addressing shared financial or social needs through mutual support and peer-controlled activities. Functions : To enhance the functional capacity of the poor and marginalized by promoting employment and income-generating activities. SHGs provide collateral-free loans at market-driven interest rates, with terms decided by the group.

Q46. Which of the following financial institutions of India protects the interests of the investors and facilitate s the functioning of the stock market intermediaries?

A. Small Industries Development Bank of India(SIDBI)

B. India Infrastructure Finance Company Ltd (IIFCL)

C. National Housing Bank (NHB)

D. Securities and Exchange Board of India (SEBI)

Solution: Securities Exchange Board of India is a statutory body and a market regulator, which controls the securities market in India. Founded: 12 April 1992; Headquarters: Mumbai; Chairperson: Madhabi Puri Buch (As of September 2022).

Q47. During a boom, the deficit of the government will reduce automatically due to _______.

A. increase in tax revenue

B. increase in GDP

C. decrease in tax revenue

D. decrease in GDP

Solution: increase in tax revenue. Budget Deficit: When the government spends more than the revenue received, then this situation is called budgetary deficit, There are three types. Fiscal deficit = Total expenditures - Total receipts (exc luding borrowings). Revenue deficit = Total revenue expenditure - Total revenue receipts. Primary deficit = Fiscal deficit - Interest payments.

Q48. In general, deficit is considered as a ________ concept.

A. surplus

B. stock

C. margin

D. flow

Solution: flow . A deficit occurs when expenses exceed revenues, imports exceed exports, or liabilities exceed assets. Federal budget deficits add to the national debt.

Q49. The estimation of poverty line in India is based on the survey conducted by which of the following?

A. Ministry of Finance
B. Reserve Bank of India (RBI)
C. Ministry of Rural Development
D. National Statistical Office (NSO)

Solution: National Statistical Office (NSO) . Poverty estimation in India is carried out by NITI Aayog's task force through the calculation of the poverty line based on data captured by the National Sample Survey Office (NSSO) under the Ministry of Statistics and Programme Implementation (MOSPI). Post-Independence Estimation of Poverty :- Alagh Committee (1979), Lakdawala Committee (1993), Tendulkar Committee (2005), C Rangarajan Committee (2012).

Q50. Identify the INCORRECT equation

A. Revenue receipts = Tax revenue (net of State's share) less non-tax revenue
B. Gross fiscal deficit = Total expenditure - (Revenue receipts + Non-debt creating capital receipts)
C. Gross primary deficit = Gross fiscal deficit Net interest liabilities
D. Revenue deficit = Revenue expenditure revenue receipts

Solution: Revenue receipts - Money earned by a business through its day to day operational activities. Revenue Expenditure - An expense that is incurred by the business as a result of producing its products and services. Revenue Deficit - It refers to the excess of revenue expenditure over revenue receipts.

Q51. The National Rural Employment Guarantee Act was passed in which of the following years?

A. 2004
B. 2005
C. 2009
D. 2006

Solution: 2005 . The National Rural Employment Guarantee Act (NREGA), also known as the Mahatma Gandhi National Rural Employment Guarantee Act (MGNREGA) gives legal guarantee of a hundred days of wage employment in a financial year to adult members of a rural household who demand employment and are willing to do unskilled manual work.

Q52. What is Cash Reserve Ratio?

A. Percentage of deposits that a central bank must keep as cash reserves with the bank
B. Percentage of deposits that a central bank must keep as cash reserves with the government
C. Percentage of deposits that a bank must keep as cash reserves with any bank
D. Percentage of deposits that a bank must keep as cash reserves with the central bank

Solution: Cash Reserve Ratio (CRR) is calculated as a percentage of Net Demand and Time Liabilities (NDTL). CRR is the share of a bank's total deposit that is mandated by the Reserve Bank of India (RBI) to be maintained with the latter as reserves in the form of liquid cash. Statutory Liquidity Ratio (SLR) is a minimum percentage of deposits that a commercial bank has to maintain in the form of liquid cash, gold or other securities.

Q53. Which of the following age groups is considered as working population or working age in India?

A. 15-40 years
B. 0-60 years
C. 15-59 years
D. 25-65 years

Solution: 15-59 years. The working-age population is a key demographic group in any economy, as it includes individuals able and available to work, based on International Labour Organization (ILO) standards. This group is crucial in defining the labor force. In India, a large working-age population, combined with economic growth, holds significant potential to drive the country's development.

Q54. Which of the following statements is correct regarding the demand curve? I. It is a graphical representation of the demand function. II. It gives the quantity demanded by the consumer at each price.

A. Neither I nor II
B. Both I and II
C. Only II
D. Only I

Solution: Both I and II. Demand curve - It shows the relationship between product demand and product price. Law of demand - It states that other factors being constant, price and quantity demand of any goods and service are inversely related to each other. Law of supply - It states that other factors remaining constant, price and quantity supplied of a goods are directly related to each other. Factors Affecting Supply - Labour and materials, Competitors and Supply chains. Factors Affecting Demand - Consumer preferences among different goods and The existence and prices of other consumer goods

Q55. In which year did India get its central bank ?

A. 1937
B. 1933
C. 1935
D. 1931

Solution: 1935. The Reserve Bank of India, which serves as India's central bank, was established in 1935. Specifically, it came into existence on April 1, 1935, following the passage of the Reserve Bank of India Act in 1934. The first bank of India was the "Bank of Hindustan", established in 1770 and located in the then Indian capital, Calcutta.

Q56. Head count ratio is used to measure ________.

A. Agriculture based population
B. Literacy rate
C. International Migration
D. Poverty

Solution: The Head Count Ratio (HCR) is the percentage of a population that falls below the Poverty Line. According to NITI Aayog's National Multidimensional Poverty Index (2021), India's HCR is 25.01%. The Rural HCR is 32.75% and the Urban HCR is 8.81% as per the same NITI Aayog report.

Q57. The simultaneous shifts of both the demand curve and the supply curve can happen in which of the following ways? I. Supply curve shifts leftward and demand curve shifts rightward. II. Both supply and demand curves shift leftwards. III. Supply curve shifts rightward and demand curve shifts leftward.

A. Only I
B. I, II and III
C. I and II
D. II and III

Solution: I, II and III . When both curves shift rightward , the equilibrium quantity increases , but the equilibrium price may increase, decrease or remain unchanged. When Both curves shift towards the left , the equilibrium quantity decreases but the equilibrium price may increase, decrease or remain. When demand curve shifts right and supply curve to the left , the equilibrium price increases but the equilibrium quantity may increase, decrease or remain the same. All depending on the magnitude of shift in the two curves.

Q58. Which of the following statements is INCORRECT?

A. Flat money is issued without any backing of an equivalent amount of gold or silver.
B. Money Multiplier is the ratio of money supply to the reserve money
C. In Time Deposits, money can be withdrawn only after maturity or with a penalty before maturity.
D. Vault cash is also a p art of money supply.

Solution: The 4 different types of money as classified by economists are commercial money, fiduciary money, fiat money, and commodity money. Vault c ash refers to the cash reserves held by the bank itself, over and above the mandated CRR amount. It is NOT part of the M1 money supply instead it is included in the monetary base. The monetary base also includes the currency held by the nonbank public, and Federal Reserve deposits of the banks.

Q59. ________ is a legal declaration of a person who is unable to pay off debts.

A. Bankruptcy
B. Credit Crunch
C. Amortisation
D. Bancassurance

Solution: Bankruptcy . In India it is declared by the Insolvency and Bankruptcy board through Insolvency and Bankruptcy Code 2016. Credit crunch is a reduction in the availability of credit independent of a rise in official interest rates. Amortisation is the process of reducing or paying off a debt with regular payments. Bancassurance is an agreement between a bank and an insurance company to sell insurance to bank customers.

Q60. From the ______ budget, the practice of showing budget deficit has been discontinued in India.

A. 1996-97
B. 1995-96
C. 1997-98
D. 1992-93

Solution: 1997-98. When a government spends more than it collects by way of revenue, it incurs a budget deficit. Revenue deficit = Revenue expenditure – Revenue receipts. Gross fiscal deficit = Total expenditure – (Revenue receipts + Non-debt creating capital receipts).

Q61. Swanajayanti Gram Swarozgar Yojana (SGSY) was launched in____________.

A. 1994
B. 1999
C. 1992
D. 1995

Solution: SGSY was launched on April 1, 1999 and is the only self employment Programme currently being implemented. Under this scheme focus was of poverty Alleviation by setting up a large number of Micro enterprises in rural areas of our country.

Q62. The collection of all bundles that the consumer can buy with her income at the prevailing market prices is called the_________.

A. Budget set
B. Budget constraint
C. Budget anomaly
D. Budget line

Solution: Budget Set. Budget line - The combination of goods that can be afforded with your current income. Budget constraint - The total amount of items you can afford within a current budget. Budget variance - Difference between the budgeted or baseline amount of expense or revenue, and the actual amount.

Q63. Which was the first bank established in India in 1770 ?

A. Bank Of Hindustan
B. State Bank of India
C. Punjab National Bank
D. Oudh commercial Bank

Solution: Bank Of Hindustan is now a defunct bank. It was established by the agency house of Alexander and Company and became defunct on March 31, 1832. Its headquarters were in Calcutta.

Q64. The Steel Authority of India Limited (SAIL) is an example of the ________ industry.

A. public sector
B. cooperative sector
C. private sector
D. joint sector

Solution: public sector. They are government-owned and controlled businesses that are funded by the government. Cooperative Sector : Businesses owned and managed by a group of individuals or organizations with common economic interests, operating for mutual benefit rather than profit. Example - Amul. Private Sector : Businesses owned and operated by individuals or private entities to earn profits. Example - Reliance Industries. Joint Sector : Enterprises jointly owned by the government and private players, combining resources and management expertise from both sectors. Example - Maruti Suzuki.

Q65. Which of the following can be considered a part of parallel economy?

A. Under declared income.

B. Value of domestic work done by the housewife.

C. Payments made to domestic helpers or housekeepers.

D. Payments for private tuition.

Solution: Under declared Income . Parallel Economy - The functioning of an unsanctioned sector in the economy whose objectives run in opposite to the objectives of the official, sanctioned or legitimate sector. Types of Economic systems : Capitalist, Socialist and Mixed.

Q66. Which of the following was the first Regional Rural Bank of India?

A. Utkarsh Bank

B. Vishwas Bank

C. Pratham Bank

D. Bandhan Bank

Solution: Pratham Bank . Pratham Bank, established on October 2, 1975, in Moradabad, Uttar Pradesh. It was set up under the Regional Rural Banks Act, 1976, to provide banking services to rural areas. RRBs aim to support small farmers, artisans, and rural laborers. The initiative is a collaboration between the Government of India, state governments, and sponsor banks.

Q67. On the basis of age, the population of a nation is generally grouped into ______ broad categories.

A. Four

B. Five

C. Three

D. Two

Solution: The population of a nation is generally grouped into the following three categories. (i) Children (generally below 15 years): (ii) Working Age (15-59 years) (iii) Aged (above 59 years).

Q68. Which of the following is an example of a public secto r bank in India?

A. Federal Bank

B. HDFC Bank

C. Axis Bank

D. Punjab National Bank

Solution: 12 Public sector banks in India: State Bank of India, Punjab National Bank Bank of Baroda, Canara Bank, Union Bank of India, Bank of India, Indian Bank, Central Bank of India, Indian Overseas Bank, UCO Bank, Bank of Maharashtra, and Pun jab & Sind Bank.

Q69. Match the following items with respect to money.

A. i -d, ii-c, iii-a, iv -b

B. i -a, ii-d, iii-b, iv -c

C. i -c, ii-b, iii-a, iv -d

D. i -b, ii-c, iii-d, iv -a

Solution: Money: A medium of exchange that is centralized, generally accepted, recognized, and facilitates transactions of goods and services. Characteristics: Durable, easily recognizable, stability, portable. Functions: Medium of exchange, A measure of Value, Standard of deferred payments, Store of value, Distribution of social income, Basic of Credit Creation, Liquidity.

Q70. Which of the following is one of the features of capital goods?

A. They are durable.

B. They are inexpensive.

C. They are Giffen goods.

D. They are inferior goods.

Solution: They are durable. Capital goods are long-term assets purchased by producers to create consumer goods. Examples include buildings, machinery, equipment, and furniture, which are used in the production process rather than for immediate consumption.

Q71. Which of the following statements is NOT correct with respect to the poverty line ? I. In India, it is normally estimated after every ten years. II. The proportion of people below poverty line is not same for all social groups and economic categories in India.

A. Both I and II

B. Only II

C. Neither I nor II

D. Only I

Solution: Only I. Below Poverty Line (BPL) - Benchmark used by the government of India to identify individuals and households in need of government assistance and aid. Poverty estimation in India - Carried out by NITI Aayog's task force through the calculation of poverty line based on the data captured by the National Sample Survey Office (NSSO) and it is based on the income or consumption levels. Dadabhai Naoroji through his book, " Poverty and Unbritish Rule in India " made the earliest estimation of the poverty line .

Q72. The commercial banks of India have to maintain a minimum percentage of cash, gold and other securities before lending loans to its customers. This is called the________

A. Capital Adequacy Ratio

B. Current Account and Savings Account Ratio

C. Statutory Liquidity Ratio

D. Cash Reserve Ratio

Solution: Statutory Liquidity Ratio (SLR). Capital Adequacy Ratio (CAR) - Process to determine the proportion of a bank's capital to the bank's total risk-weighted assets and current liabilities. Current Account and Savings Account Ratio - Ratio of deposits in current and savings accounts to the total deposits in account. Cash Reserve Ratio (CRR) - It is the certain percentage of deposited cash of all banks in RBI.

Q73. Which of the following is NOT included in 'Operating Surplus'?

A. Rent

B. Profit

C. Interest

D. Wages in cash

Solution: Wages in Cash. Operating Surplus : concept used in national accounts statistics which refers to the measure of surplus accruing from production of the output before deducting property income from it like land, rent, and interest. It is a component of value added and gross domestic product.

Q74. Rapid industrialization was the main objective of which of the following five-year plans of India ?

A. First five-year Plan

B. Second five-year Plan

C. Third five-year Plan

D. Fourth five-year Plan

Solution: Second Five-Year Plan (1956-1961), also called the Mahalanobis Plan after its chief architect, had a target growth rate of 4.5% and achieved an actual growth rate of 4.3%. The Third Five-Year Plan (1961-1966) aimed for a growth rate of 5.6% but achieved only 2.8%. Its goal was to make India a 'self-reliant' and 'self-generating' economy. The Fourth Five-Year Plan (1969-1974) focused on "growth with stability" and the "progressive achievement of self-reliance," with a target growth rate of 5.7% and an actual growth rate of 3.3%.

Q75. The objective of the "Gadgil Formula," introduced during the Fourth Five Year Plan, was to allocate plan assistance to states based on their:

A. Population and per capita income

B. Area and literacy rate

C. Agricultural production and exports

D. Industrial output and trade balance

Solution: Population and per capita income. Fourth Five-Year Plan (1969 - 1974): The plan adopted the objective of correcting the earlier trend of increased concentration of wealth and economic power. It was based on the Gadgil formula focusing on growth with stability and progress towards self reliance. The Indira Gandhi government nationalised 14 major Indian banks and Green Revolution in India advanced agriculture.